REPORT TO SHAREHOLDERS

MANAGEMENT'S DISCUSSION AND ANALYSIS

In the first quarter, the Company achieved continued growth through increasing sales mix of higher nutrition and specialty fresh bakery products, and expanding the U.K. bakery business. While North American frozen bakery operations realized a modest improvement, there is much to do to increase earnings in this segment. To accelerate strategic repositioning of this business, a new executive leadership has been established under a 30 year veteran of the bakery industry.

Sales for the first quarter increased 19% to $358.3 million from $301.6 million last year, partially due to the contribution from recent acquisitions. Excluding acquisitions, sales increased 8%.

Earnings from operations before restructuring and other related costs for the first quarter were $30.0 million compared to $28.0 million last year, as a result of higher earnings in both the fresh and frozen businesses. Earnings from operations exclude $2.2 million ($1.5 million after tax) of restructuring and other related costs in the first quarter of 2007. Management believes this is the most appropriate basis on which to evaluate operating results, as restructuring and other related costs are not representative of ongoing operating earnings.

Following is a summary of net earnings and earnings per share (EPS) before and after restructuring and other related costs:

($ millions except per share amounts)	First Quarter		
	2007	2006	Change
Net earnings as reported	17.9	19.4	(7.7%)
Restructuring and other related costs, net of tax	1.5	-	
Net earnings before restructuring and other related costs (i)	19.4	19.4	0.0%
EPS before restructuring and other related costs (i)	$0.76	$0.76	$0.00

i) This is not a recognized measure under Canadian GAAP. Management believes that this is the most appropriate basis on which to evaluate operating results, as restructuring and other related costs are not representative of continuing operations.

Net earnings before restructuring and other related costs was $19.4 million ($0.76 per share), consistent with last year.

Operating Review

The following table summarizes operating earnings by business segment before restructuring and other related costs:

Earnings from Operations before Restructuring and Other Related Costs

($ millions)	First Quarter		
	2007	2006	Change
Fresh Bakery	**22.0**	21.6	2%
Frozen Bakery	**8.0**	6.4	24%
	30.0	28.0	7%

Fresh Bakery *(Fresh bakery products, specialty baked goods and hand-held snacks, and fresh pasta and sauces)*

Fresh Bakery sales increased 6% to $219.2 million in the first quarter from $207.5 last year due to sales mix improvements and price increases implemented last year to offset inflationary costs. Earnings from operations in the first quarter increased to $22.0 million from $21.6 million last year, benefiting from product mix and price improvements which mostly offset higher wheat prices and some volume declines. Reinforcing its leadership in the growing higher nutrition market, the Company launched *Dempster's WholeGrains Prebiotic*, a delicious bread that contains inulin, a unique source of prebiotic fibre that promotes digestive health. *Dempster's WholeGrains Prebiotic* is the first major brand in Canada to offer the benefits of prebiotics. Fresh pasta earnings decreased in the quarter due to higher dairy and packaging costs.

Frozen Bakery *(North American and U.K. frozen bakery products; including frozen par-baked and specialty bakery products)*

Frozen Bakery sales in the first quarter increased to $139.2 million from $94.1 million last year. A significant portion of the sales increase reflected the contributions from the acquisitions of the French Croissant Company Ltd. on November 27, 2006 in the United Kingdom. Excluding acquisition, sales increased 14% in the first quarter, principally related to growth in the bagel business in the UK. Earnings from operations increased to $8.0 million in the first quarter from $6.4 million last year. The U.K. bakery operations recorded another strong quarter, benefiting from the contribution of acquisitions, as well as continued bagel earnings growth. During the quarter, the Company began a project to further expand capacity at its Rotherham bagel facility through an $8.3 million investment in freezing capacity that will allow the business to pursue further opportunities in the frozen bagel market in the U.K. and Europe. This expansion, together with investments in croissant capacity at the French Croissant Company, is expected to well position the business to continue its growth in the specialty bakery market.

The profitability of the Company's North American frozen bakery operations increased from last year, although still below earnings potential. A strategic realignment of this business is being developed to position it for higher returns. In April, the Company announced a senior leadership change in its Frozen Bakery business.

Restructuring and Other Related Costs

During the first quarter, the company recorded restructuring and other related costs of $2.2 million ($1.5 million after tax) related to the previously announced closure of a fresh bakery in Langley, British Columbia.

Cash Flow and Financing

Cash flow from operating activities was $19.9 million for the first quarter compared to a use of funds of $5.5 million in the prior year period, primarily as a result of decreases in net working capital.

Interest expense for the first quarter was $1.3 million compared to $0.7 million last year as a result of increased debt that was used to finance acquisitions in 2006.

Capital expenditures on plant and equipment for the first quarter were $11.7 million compared to $9.9 million last year.

Acquisitions

On February 26, 2007 the Company acquired 100% ownership in Pâtisserie Chevalier Inc. ("Chevalier") for $7.9 million. Chevalier is a leading producer of single-portion snack cake products in Quebec.

Taxes

The Company's effective tax rate increased from 29.4% in the first quarter of 2006 to 33.7% in 2007 as the Company began recording in the third quarter of 2006 a full valuation allowance against losses recognized in its U.S. bakery business.

Summary of Quarterly Results

The following is a summary of unaudited quarterly financial information for the nine interim periods ended March 31, 2007 (in thousands of dollars except per share information):

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter	Total
Sales	**2007**	**$ 358,337**				
	2006	301,564	$ 335,545	$ 342,344	$ 355,479	1,334,932
	2005	289,376	314,280	314,518	308,832	1,227,005
Net earnings	**2007**	**$ 17,910**				
	2006	19,397	$ 22,880	$ (2,715)	$ 13,988	53,550
	2005	11,885	21,262	23,038	18,737	74,922
Net earnings before	**2007**	**$ 19,415**				
restructuring and other	2006	19,397	$ 22,880	$ 18,503	$ 17,711	78,491
related costs	2005	15,104	21,262	23,038	18,737	78,141
Earnings per Share	**2007**	**$ 0.70**				
Basic	2006	$ 0.76	$ 0.90	$ (0.11)	$ 0.55	2.11
	2005	0.47	0.84	0.91	0.74	2.95
Basic before restructuring	**2007**	**$ 0.76**				
other related	2006	0.76	$ 0.90	$ 0.73	$ 0.70	3.09
costs	2005	0.59	0.84	0.91	0.74	3.07
Diluted	**2007**	**$ 0.70**				
	2006	0.76	$ 0.90	$ (0.11)	$ 0.55	2.11
	2005	0.47	0.83	0.90	0.74	2.93

For an explanation and analysis of quarterly results, refer to Management's Discussion & Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at www.canadabread.ca.

Changes in Accounting Policies

Effective January 1, 2007 the Company adopted the new Canadian accounting standards for financial instruments. The adoption of these new standards requires the Company to calculate a new balance sheet account called accumulated other comprehensive income. This account includes (i) the unrealized foreign currency translation adjustment, and (ii) unrealized gains (losses) on cash flow hedges net of tax. On transition, the Company recorded $0.2 million in accumulated unrealized losses related to cash flow hedges as at January 1, 2007. During the first quarter of 2007, the Company recorded other comprehensive losses of $0.9 million, primarily related to changes in accumulated foreign currency translation. As at the end of the first quarter, the accumulated other comprehensive income balance was a loss of $6.3 million.

Derivatives

In the ordinary course of business, Canada Bread enters into derivative financial instruments to reduce underlying fair value and cash flow risks associated with foreign currency, interest rates and commodity prices. If the company had not entered into these contracts, operating earnings for the first quarter of 2007 would have been higher by $ 0.3 million (2006: lower by $ 0.3 million). Without these contracts, interest expense for the first quarter of 2007 would have been higher by $ 0.9 million (2006: higher by $ 0.7 million).

Forward-Looking Statements

This document may contain forward-looking information within the meaning of applicable securities legislation. Forward looking information is based upon a number of assumptions and is subject to a number of risks and uncertainties, many of which are beyond the Company's control, that could cause actual results to differ materially from those that are disclosed in or implied by such forward looking information. Any forward-looking information in this press release speaks as of the date of this press release. Canada Bread does not undertake to update any such forward-looking information whether as a result of new information, future events or otherwise. Additional information about these assumptions and risks and uncertainties is contained in the filings with securities regulators including the annual information form and Management's Discussion and Analysis accompanying the financial statements in the reports to shareholders. These filings are available on the Company's website at www.canadabread.ca.

Other Matters

The Company declared a dividend of $0.06 per share payable on July 2, 2007 to shareholders of record on June 15, 2007. Unless indicated otherwise in writing at or before the time the dividend is paid, each dividend paid by the corporation in 2007 or a subsequent year is an eligible dividend for the purposes of the “Enhanced Dividend Tax Credit System”.

Canada Bread, which is 88.0% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2006 sales of $1.3 billion and employs approximately 8,700 people at its operations across North America and in the United Kingdom.